

The Financial Impact of Divorce

You've probably heard that 50 percent of all marriages end in divorce. If yours is one of them, it helps to be aware of some of the financial issues. For example, if you and your spouse agree to a division of your debt, be sure to make this a formal arrangement by contacting each creditor and asking them to legally transfer the debt to you or your spouse and release the other from liability. If you're going to be responsible for a debt, your spouse shouldn't be listed as an authorized user (for example, on a credit card) and he or she shouldn't be held responsible if you fail to pay it off—and vice versa. Some couples obtain individual consolidation loans and pay off their portion of the joint debts so the accounts can be closed. This is ideal for a clean split, but if it's not possible, and your spouse incurs large amounts of debt, inform the lender in writing that you're no longer responsible for any new charges.

Good references on divorce include *Divorce & Money: How to Make the Best Financial Decisions During Divorce* by Violet Woodhouse and Dale Fetherling, and *Using Divorce Mediation* by Katherine E. Stoner, a complete manual on how to mediate your divorce and avoid prolonged court battles and huge legal expenses that you'll spend years paying off.

Be sure to consider how divorce will impact your health insurance. If you have coverage under your spouse's policy and he or she works for a company with more than twenty employees, you're eligible to continue under the same plan for up to thirty-six months by electing COBRA coverage. You'll have to pay the amount the coverage costs the employer plus an administrative fee of 2 percent. If you don't notify your spouse's employer of the divorce within sixty days, you lose your right to this benefit.

